Bocconi

CORPORATE FINANCE 30017

Prof. Martin Kornejew

Introduction

Università Bocconi
MILANO

Agenda

COURSE LOGISTICS

THE NATURE OF CORPORATIONS

THE CORPORATE OBJECTIVE

QUIZZES, CASES AND DATA

COURSE LOGISTICS

Communication

- All important announcements, material via **Blackboard**
- **Questions** during the teaching semester (Feb-June):
  - **in person after class**
  - ***Microsoft Teams***
  - (pls no email to prevent mailbox overflow)
- Questions outside the teaching semester (after June):
  - *martin.kornejew@unibocconi.it*
- Teaching Assistants:
  - Selen Eski (Class 40)
  - Alejandra Inzunza (Class 41)

Frequently asked questions

— FAQ PDF via *Blackboard*

- Please read carefully

Course assessment

Course assessment is *identical* for attending and non-attending students. Course assessment consists of:

- An **exam** (30-100% of the final grade): The weight of the exam grade depends on the quality of the other components.
- **Case studies** (0-40% of the final grade): The case studies are worked on and handed in in groups, and are designed to give students a sense of solving allegedly real problems facing a firm. The weight is 40% if better than the final exam, and 0% otherwise.
- **Normal quizzes** (0-20% of the final grade): The normal take-home quizzes are individually assigned to students and contain numerical exercises and other question types and are aimed at helping students synthesize the course material and assessing their ability to apply analytical tools and their institutional knowledge. The weight is 20% if better than the final exam, and 0% otherwise.
- **A Midterm quiz** (0-10% of the final grade): The midterm take-home quiz is scheduled around the time of the midterm break, and serves primarily as a test of proficiency. The weight is 10% if better than the final exam, and 0% otherwise.
- Unused case, take-home and exam grade components have *expiration conditions*, the details are covered in class.

— See FAQ PDF via *Blackboard* for additional details

Keeping track of content, reading, deadlines

- Schedule via *Blackboard* (excel table)

THE NATURE OF CORPORATIONS

Defining a “Firm” in theory

— A firms is a **legal fiction** able to be party to a contract

- Enabling to own assets and owe liabilities
- Assets: Tangible vs. intangible
- Liabilities: Equity vs. debt (and hybrid forms in between, e.g., convertible bonds)
  - Cash flow rights vs. control rights
  - Limited vs. unlimited liability (“piercing the legal veil”?)

Defining a “Firm” in practice

— Various legal templates (depending on jurisdiction)

- Differ in registration requirements, tax regimes, limits on ownership, management, liability structure
- Typically three broad categories:
  - *Sole proprietorships*: Ownership and control held by single person; possibly unlimited liability
  - *Partnerships*: Ownership and control held by small number of people; typically limited liability
  - ***Corporations***: Separation of ownership (shareholders) and control (directors); limited liability

Mini Case Study: Cash vs. control

- What specifically are you paying for when you buy 1,000 shares of *Snap Inc*?
  - Snap's *public* shares were issued somewhat controversially <u>without voting rights</u>
  - You are entitled to 1,000/1,258,171,112 of any dividends Snap pays, but Snap pays no dividends, is under no obligation to pay any dividends, and has stated that it does not "anticipate paying any cash dividends in the foreseeable future"
  - You are entitled to 1,000/1,258,171,112 of whatever is left after paying off all debt in case the firm is liquidated – which is unlikely, and probably will yield nothing (most assets are intangible)
  - You are entitled to 1,000/1,258,171,112 of the proceeds if Snap is sold to another firm – which is unlikely, and public shareholders also cannot force a sale
- Relate your arguments to the concepts of *control rights* and *cash flow rights*

THE CORPORATE OBJECTIVE

Quo vadis, corporation?

- Firms are legal construct for **coordinating economic activity of many** (investors, employees,…)
  - Conflict of interests routinely arise over the direction of corporate policy:
    - Shareholders vs. creditors
    - Shareholders vs. managers
    - Shareholders vs. shareholders
    - Shareholders vs. other stakeholders (employees, consumers, citizens)

- What principle should guide corporate policy?

“Friedman Doctrine”

— Milton Friedman (1970) “*The Social Responsibility of Business Is to Increase Its Profits*”

- “In a free-enterprise, private-property system, a **corporate executive** is an employee of the **owners of the business**. He has direct responsibility to his employers. That responsibility is to conduct the business in accordance with their desires, which generally will be to make as much money as possible while conforming to the **basic rules of the society**, both those embodied in law and those embodied in ethical custom.”
- “Of course, in some cases his employers may have a different objective. A group of persons might establish a corporation for an eleemosynary purpose—for example, a hospital or school. The manager of such a corporation will not have money profit as his objective but the rendering of certain services.”

Value maximization

- Firms, incl. corporations, typically set up for monetary profit
  - (very rarely intertwined with political objectives, see classical case of British *East India Company*)

- Harder than it may sound at first:
  - Navigating financial trade-offs (**this course**):
    - Intertemporal trade-offs (*e.g., 1 mio today vs. 1.5 mio in 5 years?)*
    - Risk-return trade-offs (*e.g., 1 mio for sure vs. 5 mio with fifty-fifty chance?)*
  - Navigating conflicts of interests (more advanced courses)
    - We will only cover the basics of shareholder vs. creditor conflicts
    - For completeness, some overview over other conflicts in next slides

Value max. with multiple shareholders

- How should we aggregate heterogeneous preferences?
  - Different risk preferences for cashflows
  - Different time preferences for cashflows
  - Different non-pecuniary preferences over environmental, social, governance objectives (ESG)

- Solution: Market-based **discount rates**, taken by managers to determine investment policy

Value max. with professional managers

- Separating ownership from control is a formidable challenge
  - Managers want a nice office, a private jet, pet projects, be on top of the internal hierarchy,…
  - This can conflict with shareholder preferences in major ways (how? discuss!)
  - The scientific term for this is "**principal-agent problem**" (also "agency problem" or "agency friction")

- (Imperfect) solutions:
  - Incentivized executive compensation
  - Legal guardrails (e.g., fiduciary duty)

Value max. in the presence of debt

- What value is being maximized: that of equity or that of the firm? What is the difference?
  - Total firm cash flows are ultimately split between creditors and shareholders
  - Shareholders are **residual claimants** (debt claims "have priority"/are "senior")
  - **Moral hazard:** Shareholders may want to gamble/take "excessive" risk
    - more on this in the second half of the course

- (Imperfect) solutions:
  - Short-term debt and/or collateral
  - Contractual guardrails ("debt covenants")

QUIZZES, CASES AND DATA

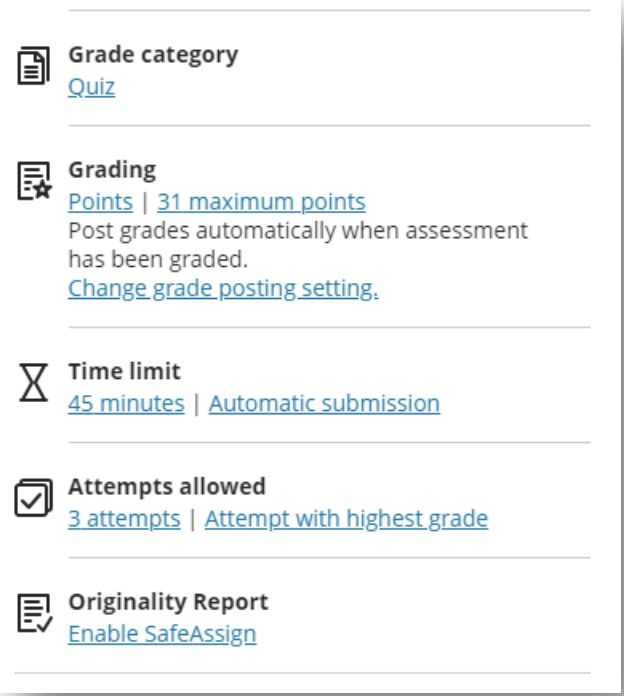
Quizzes: General remarks

- Will go online after we covered all relevant materials
- Deadline about 1 week ahead
- See Blackboard schedule to if you want to get an overview

- Important:
  - **Decimal mark** is "." (dot)
  - Read instructions carefully, incl. how to round your answer if at all
  - Make sure you have a stable internet connection to not waste any attempt

First Quiz

- "The quizzes are aimed at helping students synthesize the course material and assess their ability to apply analytical tools and their institutional knowledge"
- You will find the quizzes move faster if you meet the course prerequisites, and slower if you do not; either one is fine, we will converge on a similar speed over time
- Quiz *Alpha* is primarily about making sure we mean similar things when we discuss financial concepts

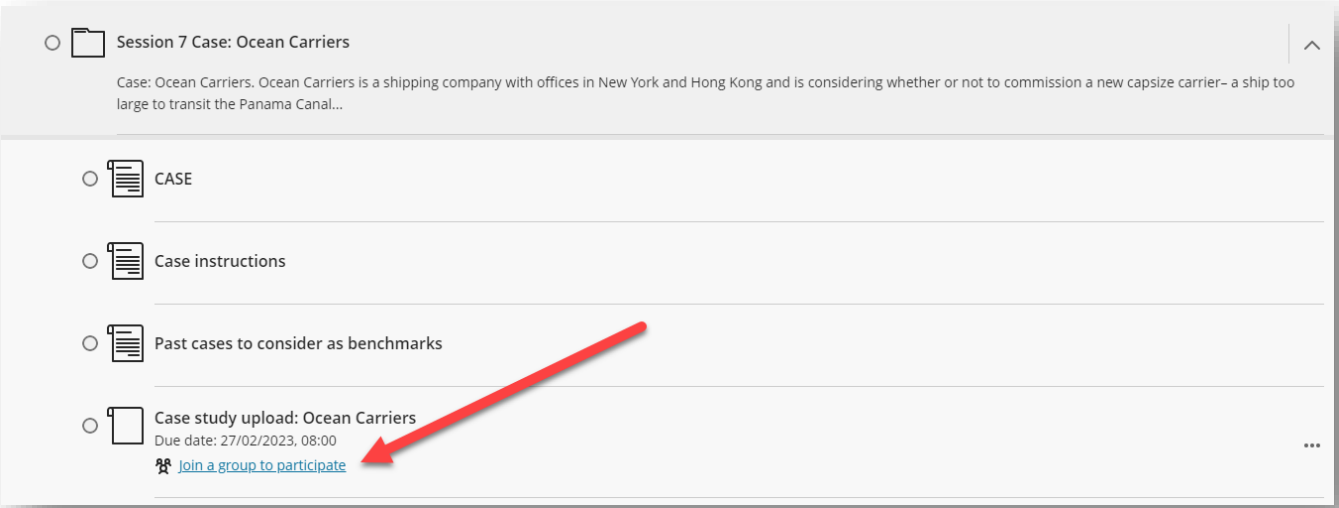


Case studies: General remarks

- Core objective: **Develop a convincing argument about corporate policy**
- Easy to spend too much time—don't
- Use AI wisely to learn and write efficiently
- But don't get fooled by it, we put everybody's understanding to the test in class

Case study assessment

- Two write-ups to be handed in
- Each graded based **on write-up and in-class participation**
- Both cases worked in the same group of 3 to 5
  - Form your group until next week; enter members on blackboard



Wharton Data Research Services (WRDS)

- Research-grade financial data on firms, markets, intermediaries and investors
- We will use it throughout the course to illustrate how the theory plays out in the real world
- Get your access following the instructions document on Blackboard TODAY